BREAKWAVE ADVISORS

Dry Bulk Shipping

Bi-Weekly Industry Report

January 6, 2026

- **New Year Brings Optimism –** Despite a relatively long holiday break, spot indices have shown little movement. While **Capesize rates are drifting lower**, this trend is anticipated and well-priced into the futures curve, though Panamax rates remain weak and Supramax rates are currently underperforming in a catch-up phase. Futures remain backwardated for the Capesize market and flattish for other sectors as near-term optimism balances seasonal headwinds. We anticipate further softening, with Capesize rates likely to **break the 20,000 mark** and move toward the mid-teen range soon. While the potential for a **strong spring recovery** following a weak first quarter remains a primary unknown, the dry bulk market is supported by **structural shifts** in iron ore trade and the emergence of bauxite as a major growth element. Consequently, we **maintain that the potential for a sharp recovery in the spring** is **significant**, and the risk-reward profile supports a positive outcome for our base scenario over the next few months despite near-term seasonal weakness. However, as in every investment, the **entry point is crucial**, and thus we would need more physical evidence regarding market balance, something that we anticipate developing over the coming week.

- **Iron Ore Drifts Higher as Global Metal Prices Boom –** Despite the recent surge in global metals markets, iron ore has **experienced limited momentum** due to high portside inventories, robust supply, and modest demand. Unlike more speculative mainstream metals, the **industrial focus of the iron ore market** has insulated it from the broader price frenzy. Our outlook remains cautious, as current supply and demand fundamentals suggest a **weakening market balance**. While prices have maintained stability for several months now, a correction is always possible, leading our focus toward external catalysts, such as weather disruptions or geopolitical shifts, that may create short-term trading opportunities. Absent such unexpected events, we see **little reason to be involved** in what seems to be another dull year for the steelmaking material.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

Short-term Indicators	
Momentum:	**Negative**
Sentiment:	**Neutral**
Fundamentals:	**Negative**

Breakwave Dry Futures Index:	**1489**
30D: -15.8%	↓
YTD: -3.1%	↓
YOY: 41.3%	↑
Baltic Dry Index (spot):	**1851**
30D: -32.1%	↓
YTD: -1.4%	↓
YOY: 72.7%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

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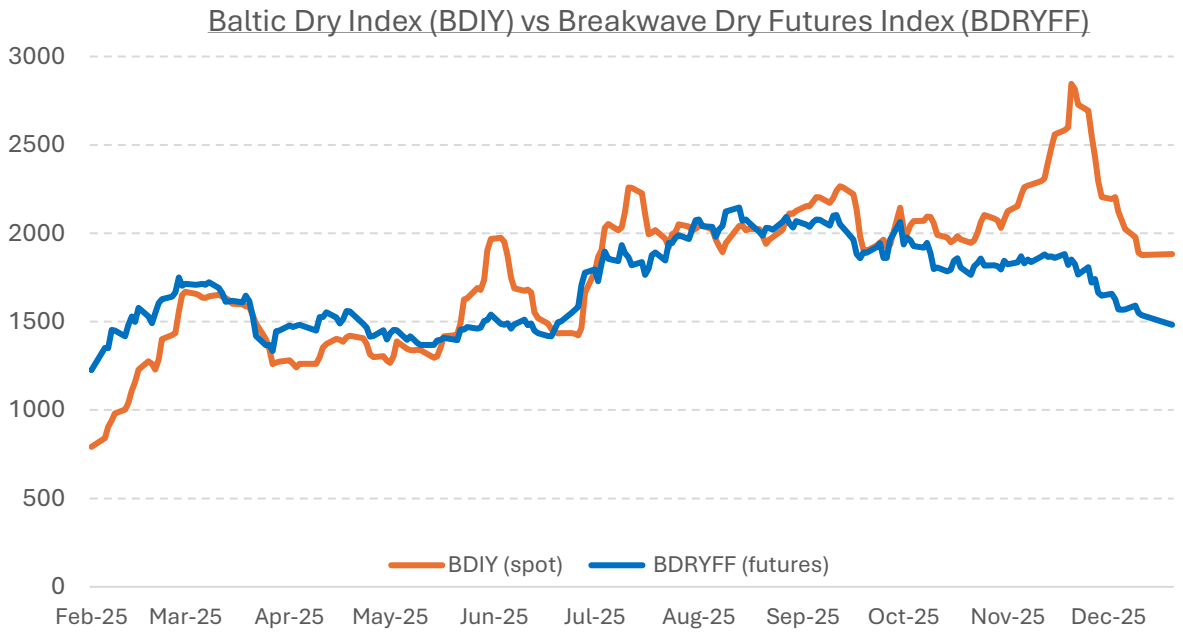

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	892mt	-4.0%
China Steel Inventories	2.8mt	-3.6%
China Iron Ore Inventories	151mt	4.1%
China Iron Ore Imports	1141mt	1.3%
China Coal Imports	432mt	-11.9%
China Soybean Imports	104mt	6.9%
Brazil Iron Ore Exports	377mt	5.2%
Australia Iron Ore Exports	766mt	1.5%

Supply		
Dry Bulk Fleet	1061 mdwt	3.1%

Freight Rates		
Baltic Dry Index, Average	1,867	77.7%
Capesize Spot Rates, Average	24,418	123.3%
Panamax Spot rates, Average	10,252	30.7%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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